Glossary of fund terms

This glossary explains the words that appear most often in Hollowmere Capital Partners notices, statements and fact sheets. The definitions are written for limited partners (the funds' investors) and are general in nature. They are not investment, tax or legal advice. For advice, please speak to your own advisers.

Net asset value (NAV)

NAV is the value of everything a fund owns, minus what it owes, on a given date. Hollowmere funds report NAV at each quarter end. The fund's total NAV is divided by the number of units outstanding to give the NAV per unit. For example, a fund with a NAV of 412.6m and 3.5 million units would report a NAV per unit of about 117.89. NAV is an estimate based on the fund's valuation policy, and it can change when valuations are updated.

Commitment and called capital

Your commitment is the total amount you have agreed to invest in a fund over its life. The fund does not take it all at once. Instead, the general partner issues capital calls, each for a percentage of your commitment. Called capital is the total of all the calls you have paid so far. Uncalled capital, also called unfunded commitment, is what remains and may still be requested. When a fund reports "called to date" as 78 percent, it means 78 percent of every investor's commitment has been requested.

Capital call

A capital call is a formal request for part of your commitment. Each call is numbered (for example Call 9) and states the percentage of commitment, the notice date, the due date and the purpose. Hollowmere gives 14 days between the notice date and the due date. Purposes usually include new investments, follow-on investments, fund expenses and the management fee.

Distribution

A distribution is a payment from the fund to its investors, usually after the fund sells or receives income from an investment. Each distribution notice states the amount per unit, the record date, the payment date and how the payment is split between return of capital and gains. Distributions reduce the fund's NAV by the amount paid out.

Carried interest (carry)

Carry is the share of the fund's profits paid to the general partner as a reward for performance, after investors have received their capital back plus the hurdle return. Carry rates differ by fund. HCP-01 pays 20 percent carry, HCP-02 pays 15 percent, HCP-03 pays 12.5 percent and HCP-04 pays 20 percent. Carry is only paid out of profits, never out of your original capital.

Hurdle (preferred return)

The hurdle is a minimum annual return that investors must receive before the general partner earns any carry. It is expressed as a yearly percentage on the capital investors have put in. HCP-01 has an 8 percent hurdle, HCP-02 has 6 percent, HCP-03 has 7 percent and HCP-04 has 8 percent. For example, in HCP-01, investors receive their called capital plus an 8 percent yearly return before the 20 percent carry starts to apply to further profits.

Clawback

A clawback is a provision that lets the fund recover carry already paid to the general partner if, over the whole life of the fund, the general partner has received more than its agreed share. It protects investors in cases where early investments performed well but later ones lost money. Clawback is settled when the fund winds up, and is described in

each fund's partnership agreement.

J-curve

The J-curve describes the typical shape of a private fund's reported returns over time. In the early years, returns often look negative because management fees and expenses are charged while investments are still held at or near cost. As investments mature and are sold at a gain, returns rise, so the line on a chart dips first and then climbs, like the letter J. HCP-03, which was raised in 2023 and has called 41.5 percent of commitments, is an example of a fund still early on the curve.

Vintage

A fund's vintage is the year it made its first investment. It is useful when comparing funds of a similar age. HCP-04 has a 2016 vintage and HCP-03 has a 2023 vintage.

Where to find more

Each fund's fact sheet lists its fees, carry, hurdle and term. Reporting dates are in the investor reporting calendar. If a term in a notice is unclear, the investor relations desk is open Monday to Friday, 9:00 to 17:00.